

The Demand Impact of Bilateral Tensions

Effects of Political Uncertainty on U.S.-Canada Passenger Volume

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Data Source: BTS T-100 International Segment

Abstract

Using Bureau of Transportation Statistics (BTS) T-100 International Segment data spanning 2023-2025, this analysis documents a significant, directional change in U.S.-Canada air travel statistics, beginning in early 2025. Total passengers at major Canadian airports declined between 4-14% year-over-year, with much of this concentration in leisure routes including Los Angeles, Las Vegas, and several destinations in Florida. A carrier-type analysis separating Canadian carriers from U.S. carriers reveals that Canadian airlines lost 2.4 million passengers, while U.S. airlines saw a net increase in passengers. A load-factor analysis confirms that this decline is driven by demand rather than supply. The evidence points towards a behavioral shift: one that saw Canadians choose to avoid traveling south to the United States.

Introduction

In the early months of 2025, relations between the United States and Canada experienced high amounts of volatility following a series of announcements and statements made by United States President Donald Trump, and other high-ranking government officials. The response from Canadians was immediate: a quiet boycott of U.S. travel, due to a significantly negative shift in public sentiment towards their southern neighbor.

This analysis asks the question: is this sentiment shock visible in actual recorded data? BTS T-100 International Segment records are observed, which captures every operated international flight by the U.S., and foreign carriers who serve U.S. airports. Using this, we can measure passenger volume, seat capacity, and load factors across the American-Canadian corridor for the 2023-2025 period.

T-100 data captures revealed preference: those who chose to fly are accounted for in the data, while those who chose not to fly are absent. This makes it a conservative, but highly robust measure, where decline observed reflects the actual behavior of passengers.

Data and Methodology

BTS T-100 International Segment data reports monthly totals by route, aircraft, and carrier for all international trips with at least one U.S. point – either the starting point or end point. Each record contains passengers, seats, and departures, which allows for the direct calculation of load factors on observed flights.

By stacking yearly files, a three-year panel is constructed. U.S.-international pairs are isolated using World Area Codes (WAC) – where one endpoint must fall in the U.S. domestic range, with the exclusion of Puerto Rico, USVI, and Guam for the confines of this analysis.

Growth comparisons use year-over-year (YoY) change against the corresponding calendar month in the prior year to control for seasonal patterns present in air travel. Month-over-month is not used in this analysis.

Corridor-Level Evidence

The U.S.-Canada corridor carried approximately 14.5 million passengers in calendar year 2023, representing the second-largest international corridor for America, after Europe. Through 2024, growth was consistent, with the continued recovery following the COVID-19 pandemic.

All growth figures are YoY: each month is compared against the same calendar month in the year prior – for example: June 2025 versus June 2024, not June versus May. This removes seasonal patterns inherent in air travel, where summer months are typically larger than winter months, regardless of any emerging demand trends. A value of -14.6% for June 2025 implies the corridor carried 14.6% fewer passengers that month than it had in June 2024.

Corridor	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Canada	+2.4%	-2.4%	-2.6%	-5.3%	-7.6%	-14.6%	-8.4%	-8.4%	-11.4%	-7.8%	-12.9%	-11.1%
Europe	+4.2%	+1.1%	-2.6%	+4.4%	+0.3%	+1.0%	+2.1%	+2.4%	+0.2%	-3.4%	-0.9%	-2.5%
Asia	+13.8%	+6.4%	+5.5%	+10.0%	+5.6%	-1.9%	-3.7%	+5.2%	+0.3%	+0.9%	+11.3%	+1.8%
Mexico & C. America	+2.7%	-6.0%	-2.0%	+3.0%	-2.4%	+8.6%	+1.9%	+1.4%	-1.3%	+2.7%	+8.0%	+2.2%

Table 1 – YoY% change in U.S. international passengers by corridor (2025). Source: BTS T-100

The Canadian corridor stands out: Europe and Asia show modest growth, or small softening consistent with established market behavior. After January 2025, Canada shows persistent, accelerating decline; with an apex of -14.6% in June, and no meaningful recovery by the end of the year. Relative to every other corridor observed, this pattern should be seen as an anomaly.

Airport-Level Decomposition

Aggregating to Canada’s six major airports, a decline with one notable exception confirms the trend observed at the corridor level.

Airport	City	2023 Pax	2024 Pax	2024 YoY	2025 Pax	2025 YoY
YYZ	Toronto	11,534,626	12,526,600	+8.6%	11,236,730	-10.3%
YVR	Vancouver	5,974,663	6,542,992	+9.5%	5,990,317	-8.4%
YUL	Montreal	4,585,163	5,080,434	+10.8%	4,452,167	-12.4%
YYC	Calgary	3,604,864	3,877,388	+7.6%	3,731,149	-3.8%
YEG	Edmonton	746,158	952,758	+27.7%	821,271	-13.8%

YOW	Ottawa	517,392	628,066	+21.4%	724,611	+15.4%
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Table 2 – Annual U.S. passengers at major Canadian airports (2023-2025). Source: BTS T-100

Three patterns jump out as analytically meaningful:

- Edmonton (YEG) shows the largest proportion of decline, after having grown by 27.7% in 2024, swinging hard in the other direction with a -13.8% reported change in passengers in 2025. As a predominantly leisure-travel origin to the U.S., Edmonton represents the profile of travelers who are more responsive to changes in sentiment.
- Montreal (YUL) reported a -12.4% change in passengers in 2025. After turning negative in January, the monthly change remained negative for every single month in 2025.
- Ottawa (YOW) grew 15.4% in 2025, the only exception of the six major airports. Ottawa is the Canadian capital; government and diplomatic travel continued, and likely increased due to bilateral negotiations intensifying throughout 2025. This counterexample supports the behavioral interpretation, where travelers who chose to keep flying had reasons unaffected by sentiment.

Calgary (YYC) stayed rather resilient, with a modest decline of -3.8%; the smallest change of the six major airports.

Demand vs. Supply (Load Factor Test)

An important diagnostic to run is whether this decline is due to airlines cutting flights – which would directly explain the drop in passengers, or by passengers who choose not to fly, leaving seats empty. By separating supply and demand, distinct outcomes are recorded:

- Supply-side: fewer seats are offered due to fewer flights, but remaining demand fills them – load factor rises or stays relatively constant.
- Demand-side: travelers choose not to book; airlines cannot adapt to the demand drop quickly enough – load factor falls alongside passenger counts.

Airport	2024 LF	2025 LF	LF Change	2024 Seats/Mo	2025 Seats/Mo	Seat Change
YYZ	82.7%	80.4%	-2.3pp	1,262,487	1,165,185	-7.7%
YVR	84.4%	81.1%	-3.3pp	646,159	615,515	-4.7%
YUL	81.1%	79.9%	-1.2pp	522,285	464,227	-11.1%
YYC	88.5%	84.5%	-4.0pp	365,076	367,759	+0.7%
YEG	85.0%	80.6%	-4.4pp	93,400	84,937	-9.1%
YOW	81.1%	75.0%	-6.1pp	64,524	80,504	+24.7%

Table 3 – Load factor and seat capacity: 2024 vs. 2025 annual averages. Source: BTS T-100

At every airport apart from Ottawa, load factor and seat capacity declined simultaneously. In response to the weakened bookings, airlines reduced their seat numbers to correspond to the drop in demand. However, airlines still could not fill the remaining capacity.

Ottawa again presents itself as an anomalous case: capacity expanded by nearly 25% in the government-travel based market, but leisure demand did not follow suit, leading to a steep drop in load factor for a different reason than any other case.

Year	Total Passengers	Total Seats	Total Flights	Load Factor	Pax YoY	Seats YoY	Flights YoY
2023	517,392	656,816	8,927	78.8%	N/A	N/A	N/A
2024	628,066	774,285	9,736	81.1%	21.4%	17.9%	9.1%
2025	724,611	966,047	12,151	75.0%	15.4%	24.8%	24.8%

Table 4 – Ottawa (YOW) YoY flight volume statistics (2023-2023). Source: BTS T-100

Carrier Asymmetry

By separating carriers by their home country, the passenger fluctuations can be observed down to the airline level. Depending on the region the airline primarily serves, different reactions to bilateral tensions can be recorded. Carrier-level trends serve to view who is choosing not to fly.

Carrier	Code	Type	2024 Pax	2025 Pax	Change	YoY
Canadian Carriers						
Jazz / AC Express	QK	Canadian	3,854,141	2,807,628	-1,046,513	-27.2%
WestJet	WS	Canadian	5,586,679	4,734,028	-852,651	-15.3%
Air Canada	AC	Canadian	6,632,742	6,122,267	-510,475	-7.7%
Sunwing ¹	RV	Canadian	2,606,137	2,206,767	-399,370	-15.3%
Porter	PD	Canadian	789,549	1,220,330	+430,781	+54.6%
U.S. Carriers						
United	UA	U.S.	2,772,247	2,874,595	+102,348	+3.7%
American	AA	U.S.	1,184,113	1,279,504	+95,391	+8.1%
Delta	DL	U.S.	1,130,061	981,475	-148,586	-13.1%

Table 5 – U.S.-Canada passenger change by carrier (2024 vs. 2025). Source: BTS T-100.

SkyWest Airlines (OO) is excluded from this table for the following reason: SkyWest operates exclusively as a contracted regional partner under United, American, Delta, and Alaska - it does not sell tickets independently. Its 101,275-passenger gain (+9.3%) on routes between the U.S. and Canada in 2025 is attributable to its mainline partners, rather than representing an independent carrier itself.

¹Sunwing Airlines was a low-cost carrier that served the corridor before merging with WestJet on May 28th, 2025. Interpret statistics accordingly.

Decisive asymmetry is recorded. The four major Canadian carriers (excluding Porter) lost a combined 2.8 million passengers YoY from 2024 to 2025. Two of the three major U.S. carriers – United and American, gained a combined 197,000 passengers. Delta, in contrast, lost 145,000 passengers, resulting in a net gain of 49,153 between the three dominating airlines in the United States.

Porter Airlines warrants its own deep dive, given the rapid growth it achieved in the U.S. corridor in 2025, despite nearly every other Canadian airline reporting significant drops in passengers. Three distinct areas drove this growth for Porter:

- Toronto (YYZ) – LaGuardia (LGA) service was a new addition for Porter in 2025, adding 111,743 passengers with no 2024 baseline – being a direct entry into one of the busiest Canada-U.S. corridors and an added competitor to Air Canada and other airlines operating the route.
- Toronto (YYZ) – Las Vegas (LAS) frequency rose sharply, growing from 85,156 to 153,880 passengers (80.7%), while also sporting at least an 84% load factor on both directions of this route.
- Ottawa (YOW) – Fort Lauderdale (FLL) traffic more than doubled; from 43,184 roundtrip passengers in 2024 up to 92,053 recorded in 2025: a staggering 113.2% increase YoY.

The directional interpretation follows suit: much of the drop in passengers from 2024-2025 is from the Canadian side. Americans continued flying to Canada all the same; the sentiment shock only ran in one direction.

Route-Level Concentration

The passenger losses are heavily concentrated on leisure and sun-destination routes, reinforcing the interpretation about discretionary travel.

Route	From	To	2024 Pax	2025 Pax	Change	YoY
Leisure — West Coast / Sun						
YYZ-LAX	Toronto	Los Angeles	767,888	594,152	-173,736	-22.6%

YVR-LAX	Vancouver	Los Angeles	964,105	790,947	-173,158	-18.0%
YYZ-LAS	Toronto	Las Vegas	566,798	444,277	-122,521	-21.6%
YYC-LAS	Calgary	Las Vegas	354,066	276,005	-78,061	-22.0%
YEG-LAS	Edmonton	Las Vegas	175,589	109,960	-65,629	-37.4%
Leisure — Florida						
YUL-MCO	Montreal	Orlando	427,307	356,357	-70,950	-16.6%
YUL-MIA	Montreal	Miami	270,722	204,035	-66,687	-24.6%
YYZ-FLL	Toronto	Fort Lauderdale	797,669	707,047	-90,622	-11.4%
Hub / Business Routes (for comparison)						
YYZ-ATL	Toronto	Atlanta	545,357	480,262	-65,095	-11.9%
YYZ-EWR	Toronto	Newark	610,913	502,373	-108,540	-17.8%
YYZ-SFO	Toronto	San Francisco	619,841	571,507	-48,334	-7.8%

Table 6 – Top routes by absolute passenger loss (2025 vs. 2024). Source: BTS T-100

Los Angeles routes from both major western gateways fell 18-23%, whereas Las Vegas routes across the board also fell a substantial amount. While Porter Airlines reported significant growth in the YYZ-LAS city pair, the loss of traffic from other airlines significantly outweighs the gains recorded by Porter. As such, Las Vegas still reports deeply negative growth at the aggregate level. Florida routes also declined, from 11-25%. All these destinations are often discretionary amongst passengers, which can easily be deferred, redirected, or outright cancelled altogether.

Business-travel routes, originating from Toronto in this example, also recorded significant downswings, although slightly more modest. This is to be expected, as business travelers face obligations in their professions that are much tougher to defer out of. Nonetheless, these hubs can be considered leisure destinations for some, and another factor to consider is connections – Canadian passengers traveling to Europe or Latin America may choose to avoid a connection in the United States due to rising tensions.

Implications

Beyond the immediate bilateral context demonstrated in the results, several macro-level points emerge, organized by who bears the potential consequences.

For Passengers – As Canada faced increased economic pressure from the United States, the image of the country soured for a sizable demographic of Canadians, who chose in droves to decommit from their travel plans to the U.S. amidst rising tensions between the highest levels of government. The data demonstrates the nature of this decommitment at the route level: where the sharpest declines were seen on sun and leisure destinations including Las Vegas, and U.S. cities in California and Florida. These are trips that are more often planned months in advance and can easily be cancelled.

For Airlines – As the deterioration mainly fell on Canadian carriers, who lost approximately 2.4 million passengers across the corridor in 2025, the responsibility falls upon the carriers to adjust their route plans accordingly for a sudden shift. The data shows that they began to do as such: seats contracted at all major airports apart from Ottawa. But the cuts lagged the overall pace of the withdrawal of demand, deflating load factors across the calendar year. Managing a demand shock of this nature and speed is incredibly difficult, as airlines plan schedules months in advance, and aircraft can't be redeployed instantaneously.

Porter Airlines, in stark contrast to its Canadian counterparts, recorded a 54% increase, growing substantially into the gap left by legacy carriers. By launching new routes, and scaling existing routes excessively, Porter has captured Canadian travelers who still choose to fly but opted for a different carrier. The load factors holding up suggest the expansion was demand driven.

U.S. carrier aggregate passengers declined by 0.7% in 2025, after having increased by 15.7% in 2024. While the demand remained somewhat resilient, tensions may have contributed to a plateau in the post-COVID recovery trajectory. The sole declining U.S. carrier on these routes is Delta (-13.1%), with many of its hubs located close to the Canadian border – Detroit and Minneapolis both serve larger amounts of Canadian connecting traffic. No other U.S. carrier has such a high concentration of its hubs located in northern regions, explaining how American and United both recorded increases in total passengers instead.

Limitations

Constraints to this analysis must be acknowledged: T-100 data does not directly record traveler nationality; the carrier-type decomposition conducted in the analysis used to establish nationality serves as a proxy of such, while not being a direct observation. Other economical factors, such as exchange rates may contribute to an alteration of travel demand, though separating these effects requires international-level booking data by traveler origin, which is not publicly available. Furthermore, the analysis does not control specifically for domestic macroeconomic trends within countries during 2025; including but not limited to inflation and GDP trends.

T-100 captures operated flights exclusively – cancelled flights and redirections are invisible in the data, suggesting the true scale of the observed behavioral change is larger than what passenger counts alone suggest.

The analysis cannot determine whether this change in demand is temporary or longer lasting. If this decline is purely driven by consumer sentiment, numbers should rebound once the bilateral relationship between the two nations normalizes. If relations do not improve in the foreseeable future, or worsen for that matter, it is possible that the drop in passengers will persist for the rest of the decade.

It is also worth noting that the BTS T-100 dataset only captures flights with a U.S. point, and as such, testing for substitution cannot be done. Corroborating whether the decline in Canadian passengers redirected their travel elsewhere would require Canadian aviation data and lies outside of the scope of this paper.

Conclusion

The U.S.-Canada air travel sector in 2025 tells a clear, consistent story across every level of the analysis. Canada was the only international market to post persistent, accelerating declines throughout the year. At the airport level, five out of six major airports lost passengers, with the sole exception of Ottawa explained by a different mechanism entirely. When looking at load factors, both passengers and seats fell, while confirming that demand fell first, with supply cuts soon following but failing to keep pace with the drop in demand. At the same time, the U.S. carriers remained steady but may have had their recovery growth stunted.

Combined, the evidence points to the following conclusion: in 2025, with the escalation of bilateral tensions, a significant share of Canadian travelers chose not to fly to the United States, with this sentiment shown at every level in the data.

All data sourced from BTS T-100 International Segment annual files, available at transtats.bts.gov. Analysis conducted in R. Panel covers 2023-2025. Full R code available upon request.